

1. Purpose

This policy defines how employees of ABC Company must request, approve, and purchase goods and services.

2. Scope

This policy applies to all employees, contractors, departments, and business units purchasing products or services on behalf of ABC Company.

3. Purchase Categories

Common procurement categories include:

- IT hardware
- Software subscriptions
- Cloud services
- Office supplies
- Professional services
- Training services
- Facility services
- Marketing services

4. Approved Vendor Rule

Employees must purchase only from approved vendors listed in the ABC Approved Vendor Register.

If a vendor is not approved, the employee must raise a vendor onboarding request before submitting a purchase request.

5. Purchase Approval Limits

Purchase Amount	Approval Required
Up to ₹25,000	Department Manager
₹25,001 to ₹1,00,000	Department Manager + Procurement Team
₹1,00,001 to ₹5,00,000	Department Head + Procurement Team

Purchase Amount	Approval Required
Above ₹5,00,000	Finance Head + Procurement Head + Business Head

6. Software Purchase Rule

All software purchases must be reviewed by:

- IT Team
- Security Team
- Procurement Team

Software cannot be purchased directly using personal or corporate cards unless approved by Procurement.

7. Non-Approved Vendor Exception

A non-approved vendor may be used only when:

- No approved vendor can provide the required product or service
- Business justification is provided
- Procurement approves the exception
- Finance validates tax and compliance details

8. Required Purchase Request Details

Every purchase request must include:

- Requester name
- Department
- Item or service name
- Vendor name
- Estimated amount
- Business justification
- Urgency
- Delivery timeline
- Cost center

9. Emergency Purchase

Emergency purchases are allowed only for business-critical situations.

Examples:

- Production outage
- Security incident
- Customer-impacting service failure
- Compliance deadline

Emergency purchases still require post-facto approval within 3 business days.

10. Prohibited Purchases

Employees must not purchase:

- Personal items
- Unlicensed software
- Services from blacklisted vendors
- Hardware not approved by IT
- Gifts above company-approved limits
- Any item violating legal or compliance rules

11. Procurement SLA

Request Type	SLA
Standard purchase request	3 business days
Vendor onboarding	5 to 10 business days
Software security review	5 business days
Emergency purchase review	1 business day

12. Policy Violation

Violation of this policy may result in:

- Purchase rejection

- Delayed reimbursement
- Compliance review
- Manager notification
- Disciplinary action in serious cases